Economics - K-12 Level Assessment 3 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. Which of the following is an accurate statement of the money supply in the United States?
   (a) The money supply is backed by gold reserves.
   (b) The least liquid measure of money is M2.
   (c) M1 is larger than M3.
   (d) The most liquid measure of money is M1.
2. Which of the following statements about a price ceiling is accurate?
   (a) An effective price ceiling must be at a price below the equilibrium price.
   (b) A price ceiling will increase the quantity of the good supplied.
   (c) A price ceiling will cause a shift in the demand curve for the good.
   (d) A price ceiling will have no effect on the quantity of the good supplied.
3. When the United States places an import quota on imported sugar we expect which of the following effects?
   (a) Consumers seek substitutes for sugar and products that use sugar.
   (b) Consumers consume more sugar and products that use sugar.
   (c) The supply of sugar increases.
   (d) Net exports in the United States fall.
4. Economists use the term "capital" to mean
   (a) money.
   (b) plant and equipment.
   (c) where the central government is located.
   (d) the center of the economy.
5. Which of the following is most likely to produce stronger economic growth over time?
   (a) More rapid consumption of natural resources.
   (b) Higher adult illiteracy rates.
   (c) A falling stock of capital goods.
   (d) Investment tax credits.

True / False (10 marks)

Answer True or False

6. True or False: Normal goods always have an elastic demand curve, making their demand very re
7. True or False: Spending on education and training is likely to hinder economic growth by diverting
8. True or False: The fractional reserve banking system's ability to create money decreases when b
9. True or False: When the federal debt is positive, it automatically causes the federal deficit to decr
10. True or False: At the peak of a typical business cycle, inflation is often the greatest threat to the r

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the effects of a government decision to lower household taxes in an economy where equilibrium real GDP is significantly below full employment. What are the potential outcomes rega
12. Discuss the factors that contribute to wage differentials in the economy, and explain why a decrease in the birth rate is not considered a source of these differences.

End of Paper